

IN THE HONORABLE SUPREME COURT OF THE REPUBLIC OF LIBERIA SITTING
IN ITS MARCH TERM, A.D. 2025

BEFORE HER HONOR: SIE-A-NYENE G. YUOH..... CHIEF JUSTICE
BEFORE HER HONOR: JAMESETTA H. WOLOKOLIE.....ASSOCIATE JUSTICE
BEFORE HIS HONOR : YUSSIF D. KABA.....ASSOCIATE JUSTICE
BEFORE HIS HONOR : YAMIE QUIQUI GBEISAY, SR.....ASSOCIATE JUSTICE
BEFORE HER HONOR: CEANEH D. CLINTON JOHNSON.....ASSOCIATE JUSTICE

Natural Resources Development Corporation (NRDC),)
represented by its Attorney-in- Fact, J. Johnny Momoh &)
Associates Legal Chambers, Inc., by & thru its Managing)
Counsellor, J. Johnny Momoh, of the City of Monrovia,)
Montserrado County, Republic of LiberiaAppellant)

Versus)

Appeal)

The Intestate Estate of Macdonald A. Wento by and thru its)
administratrix /administrator, Michelle A. Dennis Wento and)
Nick Wento, of the City of Monrovia, Montserrado County,)
Republic of Liberia)

And)

Geblo Logging Inc., represented by all of its Corporate Officers)
also of the City of Monrovia, Montserrado County, Republic of)
Liberia..... Appellees)

GROWING OUT OF THE CASE :)

The Intestate Estate of Macdonald A. Wento by and thru its)
administratrix/administrator, Michelle A. Dennis Wento and)
Nick Wento, of the City of Monrovia, Montserrado County,)
Republic of Liberia Movant)

Versus)

Motion to Dismiss)

Natural Resources Development Corporation (NRDC),)
represented by its attorney- in-fact, J. Johnny Momoh &)
Associates Legal Chambers, Inc., by & thru its Managing)
Counsellor, J. Johnny Momoh, of the City of Monrovia,)
Montserrado County, Republic of Liberia Respondent)

GROWING OUT OF THE CASE:)

Natural Resources Development Corporation (NRDC))
represented by its Attorney in fact, J. Johnny Momoh &)
Associates Legal Chambers, Inc., by & thru its Managing)

Counsellor, J. Johnny Momoh, of the City of Monrovia,	)
Montserrado County, Republic of Liberia Petitioner	)
	)
Versus	) Petition for
	) Declaratory Judgment
The Intestate Estate of Macdonald A. Wento by and thru its	)
administratrix /administrator, Michelle A. Dennis Wento and	)
Nick Wento, of the City of Monrovia, Montserrado County,	)
Republic of Liberia	)
	)
And	)
Geblo Logging Inc., represented by all of its Corporate Officers	)
also of the City of Monrovia, Montserrado County, Republic of	)
Liberia..... Respondents	)

Heard: April 24, 2025

Delivered: August 14, 2025

MADAM JUSTICE WOLOKOLIE DELIVERED THE OPINION OF THE COURT

This case on appeal to the Honorable Supreme Court of Liberia emanates from a ruling made by the Sixth Judicial Circuit, Civil Law Court, Montserrado County, on a petition for declaratory judgment filed by appellant, Natural Resources Development Corporation (NRDC), by and thru its Attorney-in-Fact, J. Johnny Momoh & Associates Legal Chambers Inc., against the appellees, Geblo Logging, Inc. (Geblo Inc.) and Madam Michelle A. Dennis Wento and Nick Wento administratrix/administrator of the intestate estate of Mr. Macdonald Wento.

The appellant in its petition claims that it is entitled to seventy-seven percent (77%) equity interest in co-appellee Geblo Inc., a registered corporate entity and forest concession holder, founded with one hundred percent (100%) shares owned by the late Macdonald Wento; that Macdonald Wento, the sole shareholder of Geblo Inc. executed a share purchase agreement between co-appellee Geblo Inc. and International Trade and Trust Group, Inc. (ITT Group, Inc.) which granted ninety percent (90%) equity shares in co-appellee Geblo, Inc. to ITT Group. Inc.; that ITT Group, Inc. thereafter transferred all its equity shares in co-appellee Geblo Inc. to the appellant, Natural Resources Development Corporation (NRDC), and after several negotiations between NRDC and the sole shareholder of Geblo Inc., Macdonald Wento. NRDC relinquished thirteen percent (13%) of the ninety percent (90%) shares back to Geblo Inc., leaving the NRDC with seventy-seven percent (77%) equity shares in Geblo Inc.

The appellees subsequently disavowed this 77% equity share of NRDC in Geblo Inc., prompting the appellant, NRDC, to file before the Sixth Judicial Circuit a petition for declaratory judgment praying the court to declare its legal right to said shares.

While this petition for declaratory judgment remained pending undetermined by the lower court, the appellant NRDC filed a petition for preliminary injunction, claiming that despite its petition for declaratory judgment filed before the court, co-appellee, the Intestate Estate of Macdonald Wentto, had entered an agreement with another company, Liberia Ruby Light Forestry Investment Inc., to carry out logging activities in co-appellee Geblo Inc. concession areas which is adverse to NRDC's interests, and that if the appellees were not stopped from continuing said activities, it would deplete the quantity of logs in the concession areas to the effect that any ruling rendered in the appellant's favor would be ineffectual and unenforceable.

The lower court issued a temporary restraining order enjoining and prohibiting co-appellant intestate estate of Macdonald Wentto and Liberia Ruby Light Forestry Investment, Inc. from logging activities in the stated concession areas pending the determination of the appellant's petition for preliminary injunction. The appellees filed a motion to dismiss both the appellant's petition for declaratory judgment and the motion for injunction filed, on the ground that the court lacked jurisdiction based on a clause in the agreement executed between the parties on August 11, 2017, which requires unresolved disputes to be submitted to arbitration; therefore, the court should dismiss the petition and the ancillary motion for injunctive relief.

The appellant filed its resistance to appellees' returns and motion to dismiss, and after a hearing, the lower court ruled granting the appellees' motion to dismiss the appellant's petition for declaratory judgment and motion for injunctive relief. The lower court in its ruling stated that the obligations of contracts are constitutionally protected rights consistent with Article 25 of the Liberian Constitution which prohibits courts from interfering and impairing the parties' contractual decisions to submit their dispute to international arbitration. Moreover, the court further stated that the granting of appellant's petition for declaratory judgment would not terminate the controversy or remove the uncertainty regarding ownership of shares in co-appellee Geblo Inc., and especially considering the international arbitration clause contained in the Share Purchase Agreement executed between the parties on August 11, 2017, the court lacked jurisdiction over the parties relative to the subject matters of their controversy.

It is this ruling of the lower court that appellant noted exceptions to, announced an appeal, and filed a 14-count bill of exceptions. We find counts 5 and 6 of this Bill of Exceptions relevant to the disposition of this case, and herein quote verbatim said counts as seen below:

5. Respondent/Petitioner says that the Civil Law Court, Sixth Judicial Circuit for Montserrado County consistent and in keeping with Section 3.2 of the New Judiciary Law has jurisdiction to try all cases, except criminal cases or cases which a court has been given exclusive original jurisdiction by the Constitution and Statutory Laws of Liberia. The declaration of shareholdings conferred on any court within the Republic of Liberia, the Civil Law Court, and Sixth Judicial Circuit has jurisdiction to declare rights in respect thereto, as in the instant petition for declaratory judgment out of which the motion to dismiss grew. Hence your Honor erred when your Honor dismissed the petitioner's petition for declaratory judgment for lack of Jurisdiction over the persons of movants/respondents and respondent / petitioner; for which prejudicial ruling of Your Honor respondent/petitioner excepts.
6. That Your Honor dismissed respondent/petitioners' petition for lack of subject matter jurisdiction on ground that movant/respondent and respondent/petitioner executed an agreement dated August 11, 2017, in which respondent/petitioner and Geblo Logging, one of the movants on one hand and MacDonald Wentu now deceased and represented by his intestate estate on the other hand agreed that the agreement should be governed by Liberian Laws; and in the event of dispute between the parties relative to the fulfillment and/or to the validity of said agreement, same should be settled by bonafide, amicable negotiation and should there disputes not be resolved within the 60 days reckoned from the initiation of the disputes, parties should submit themselves to the exclusive jurisdiction of the London Court of International Arbitration and in such event, the arbitration court should apply its own rules of procedures. Respondent/Petitioner submits that its petition for declaratory judgment was not based or predicated upon the agreement of August 1, 2017, but rather the share certificates, Certificate of Authentication, and confirmation of the Respondent/Petitioner's seventy seven percent (77%) equity interest in co-movant/Respondent Geblo Logging Inc. all of which were executed by MacDonald Wentu, now his intestate, who was then the secretary of co-movant/respondent Geblo Logging Inc. Hence, Your Honor erred when your Honor based on the agreement referred to herein, which was not the basis of or the respondent/petitioners petition for declaratory judgment, dismissed respondent/petitioner's petition for declaratory judgment; for which error Your Honor respondent/ petitioner, excepts.

The contentions of the appellant as stated above are that the lower court erred in dismissing the appellant's petition for declaring its rights of shareholdings, since the Sixth Judicial Circuit has jurisdiction to declare rights in respect thereto; that the court also erred when it dismissed the appellant's petition for lack of jurisdiction over the parties since the petition for declaratory judgment was not based on or predicated upon the agreement of August 11, 2017, but rather on the confirmation of the appellant's seventy-seven percent (77%) equity interest in the appellee's Geblo Logging Inc.

We print below the referenced agreement of August 11, 2017, executed between appellant NRDC and the late MacDonald Wentu:

AGREEMENT

Made and entered into on August 11, 2017, between MacDonald Wento, a Liberian private individual having his registered residence at 18th Street and Warner Avenue, Sinkor, Monrovia, Liberia (hereinafter referred to as "MDW")

And

Geblo Logging Inc. "GEBLO" (a Liberian Company and Forest Concession Holder I), Natural Resources Development Corporation, St. Vincent, "NRDC" and the majority beneficial shareholder of GEBLO (Together hereinafter referred to as "NRD Entities"), altogether referred to as the "Parties" to this agreement;

The parties herewith agree as follows:

1. NRDC acknowledges and appreciates all the efforts that have been made by MDW to co-found and support the NRDC entities in its forest operating activities in Liberia, and the period of time MDW served as Chief Executive Officer of Geblo Logging Inc. and served on the Board of Directors.
2. In order to finalize the shareholding ownership of NRDC and MDW in GEBLO Inc., NRDC as part of this agreement will make an immediate payment of US\$130,000 to MDW to settle the outstanding amount to MDW for the initially agreed payment to compensate MDW for the formation and development of GEBLO and its share acquisition. MDW Acknowledges receipt of the US\$130,000 payment as part of the original share purchase agreement.
3. MDW acknowledges and confirms that the shareholding of NRDC in GEBLO previously and now acquired is unencumbered and free and clear of any rights of third parties and in compliance with the agreements between MDW and NRDC. MDW will present a written declaration of the CEO of Plant Pool Liberia Inc. that it holds no claim nor any rights to any possession of Geblo nor to the share capital of GEBLO.
4. This agreement shall be governed by Liberian Laws. All eventual disputes between the parties relative to the fulfillment and or to the validity of this agreement shall be settled by bonafide, amicable negotiations. Should these dispute not be resolved within Sixty (60) days reckoned from the initiation of the dispute, the parties submit themselves to the exclusive jurisdiction of the London Court of International Arbitration. The Arbitration Court shall apply its own Rules of Procedures. NRDC will make any necessary payments to the Arbitration Court to initiate such procedures as required under the terms of this agreement. (emphasis ours).
5. This Agreement is executed in twofold of which each party has received one original.

Signed in Sinkor, Monrovia on the date first mentioned as above by:

MacDonald Wento
Corporation
Rohrbrasser – Chairman

Natural Resources Development
Markus

The sole issue is whether Liberian courts, relative to clause 4 of the above agreement, have jurisdiction over the parties or subject matter involved in these proceedings to declare the appellant's claim to equity shares in co-appellee Geblo Inc.?

Article 25 of our 1986 Constitution states that "*obligations of contracts shall be guaranteed by the Republic and no laws shall be passed which might impair this right.*" In further expansion of this principle, the Honorable Supreme Court has held that the sanctity of contracts is a fundamental principle in both legal and economic frameworks, ensuring that agreements are legally binding and enforceable (*Urban Marketing, Inc. v John Hilary Tubman*, Supreme Court Opinions, October Term A.D 2024), and that arbitration clauses in an agreement are mandatory (*Chicri Brothers, Inc. v. Isuzu Motors Overseas Distribution Corporation*, 40 LLR 128, 135 (2000), *Karen Maritime Limited v. Omar International, Inc.*, 42 LLR 216, 224(2004).

In this case, the appellees in their returns to the petition for declaratory judgment filed by the appellant denied the appellant's claim of payment for the stated percentage of shares in the co-appellee Geblo Inc. on grounds that appellant did not present any proof of payment for the stated shares in the agreement of August 11, 2017, either by transfer advice or receipt issued as agreed upon in the stated agreement between the appellant and co-appellee Geblo Logging Inc.; hence, Mr. MacDonald Wenton's 100% shares in Geblo Logging was never cancelled absent evidence of a Board Resolution reflecting same and a subsequent amendment of co-appellee Geblo Inc. Articles of Incorporation.

The appellant on the other hand contends that its petition for declaratory judgment filed is not predicated on the fulfillment and or validity of the agreement of August 2017, but solely on the basis of its acquisition of shares and issuance of shares certificate in its favor given that the ownership of equity interest or shares of a corporation is evidenced by the shares certificate as provided by law; that the failure to amend the articles of incorporation to reflect the purchase of shares, notwithstanding the issuance of the share certificate does not deprive the holders vested interest in the corporation; that assuming its petition grows out of said agreement, the courts of Liberia which possess the sole authority to apply Liberian laws still have jurisdiction over said disputes arising from the share purchase agreement since the said agreement contains a clause which states: "*This agreement shall be governed by Liberian Laws*"; and that pursuant to the signed share purchase agreement executed between NRDC and Geblo Inc., on August 11, 2017, as attached by appellees in its motion to dismiss appellant's petition, Mr. Macdonald Wenton's acknowledgment of receipt of immediate payment of United States Dollars One Hundred Thirty Thousand (US\$130,000.0) for formation and development of Geblo and NRDC acquisition is proof that Mr. MacDonald Wenton during his

life admitted to receiving the NRDC payment for its shares; therefore appellees' denial of appellant equity shares based on nonpayment of the stated amount to finalize the purchase of its equity shares in co-appellee Geblo Inc. is untenable.

As stated by the lower court judge who relied on our Civil Procedure Law, Rev. Code 1: 64 1; 43.5, and the case *Gbarto et al. v. Washington*, 41 LLR 117, this Court agrees that the lower court could not entertain the controversy given that the share purchase agreement of August 11, 2017 contains an arbitration clause which ousts the court of jurisdiction to hear matters of dispute arising from the share purchase agreement, and moreover, the granting of petition for declaratory judgment would not terminate the controversy.

With respect to the appellant's contention that the August 2017 agreement required Liberian laws to govern disputes, and that the Liberian courts, bearing authority to apply Liberian laws, still have jurisdiction over disputes emanating from the agreement, this Court says there is no law that prohibits the London Court of International Arbitration ("LCIA") from settling the appellants dispute applying Liberian Laws where the parties so agree. It is also not forbidden for parties to an agreement to agree to arbitrate their disputes outside of a jurisdiction in which the agreement was executed and their agreement as to choice of law to be applied.

The LCIA Arbitration Rules (2020), under Article 16.4 – Seat of Arbitration, Place(s) of Hearing and Applicable Law, states:

"Subject to Article 16.5 below, the law applicable to the Arbitration Agreement and the arbitration shall be the law applicable at the seat of the arbitration, unless and to the extent that the parties have agreed in writing on the application of other laws or rules of laws applicable at the arbitral seat."

The "LCIA" therefore does not exclusively use English common laws to settle disputes as it is an international institution that administers arbitrations under various systems of law, using the parties' own agreement as to the choice of law, and in absence thereof, the English common law. In this case, the parties themselves agreed to exclude the jurisdiction of Liberian courts while accepting to apply Liberian laws in an arbitration proceedings in London.

The lower court having ruled consistent with this Court's numerous Opinions that the obligation of contracts shall be guaranteed and no laws shall be passed impairing parties rights to contract, and that parties to a contract are required to uphold their decision to submit their disputes to arbitration, we hereby affirm the ruling of the lower court judge that the parties submit their dispute to the LCIA.

WHEREFORE AND IN VIEW OF THE FOREGOING, the final ruling of the Sixth Judicial Circuit, Civil Law Court, Montserrado County dismissing the appellant's petition for declaratory judgment is hereby affirmed. The Clerk of this Court is ordered to send a Mandate to the court below, commanding the judge presiding therein to resume jurisdiction over this case and give effect to the Judgment emanating from this Opinion. Costs are ruled against the appellant. AND IT IS HEREBY SO ORDERED.

WHEN THIS CASE WAS CALLED FOR HEARING, COUNSELLOR J. JOHNNY MOMOH OF THE J. JOHNNY MOMOH AND ASSOCIATES LEGAL CHAMBERS INC. APPEARED FOR THE APPELLANT. COUNSELLOR MARK M. MARVEY OF BEYOND LAW CHAMBERS APPEARED FOR THE APPELLEE.